



CURRENT STATE ASSESSMENT

Overview



The current customer onboarding process within the digital banking industry is designed to **verify customer identity**, **assess customer risk**, and **ensure compliance** with Know Your Customer (KYC) and Anti-Money Laundering (AML) requirements before account activation.



While many digital banks have adopted online onboarding channels, several onboarding activities still require **manual intervention**, resulting in **delays**, **operational inefficiencies**, and **inconsistent customer experiences**.



KEY ASSESSMENT AREAS



PROCESS EVALUATION

Review existing onboarding steps, workflows, and decision points.



PEOPLE & ROLES

Assess roles, responsibilities, and manual involvement across the process.



SYSTEMS & TOOLS

Analyze systems used, integrations, and data flows across channels.



PAIN POINTS & GAPS

Identify bottlenecks, rework, errors, and compliance risks.



PERFORMANCE ANALYSIS

Evaluate current performance against business and customer expectations.



COMPLIANCE REVIEW

Assess adherence to KYC/AML regulations and internal policies.

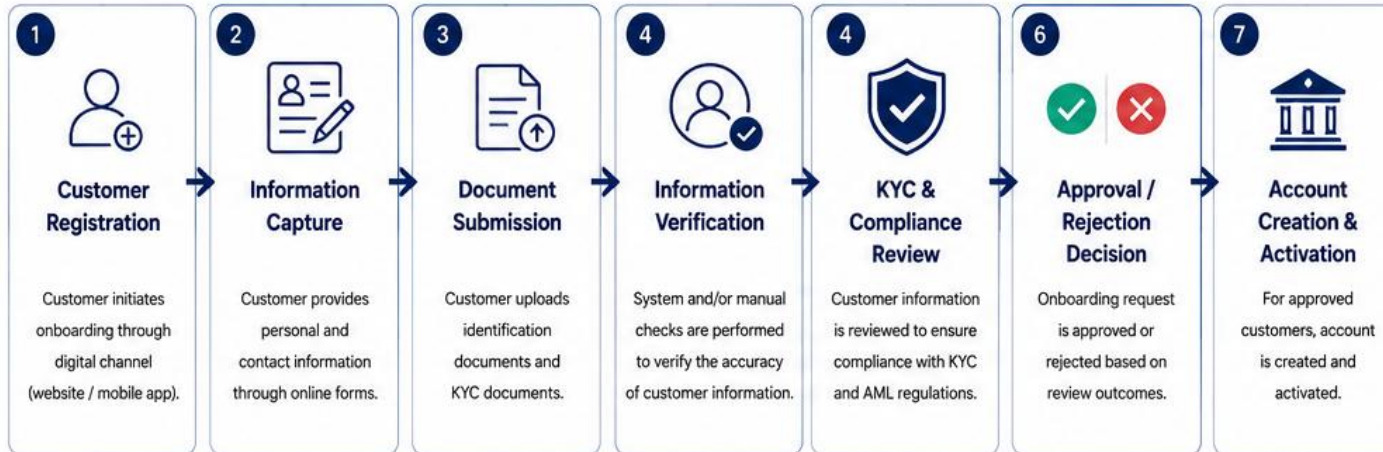


CURRENT ONBOARDING PROCESS

The current onboarding process consists of a sequence of activities designed to collect customer information, verify identity, perform KYC reviews, assess customer risk, and activate customer accounts.



ONBOARDING PROCESS FLOW



CURRENT STATE CHARACTERISTICS





EXISTING SYSTEMS



The onboarding process currently utilizes the following systems and services to capture, verify, and manage customer information.

01

Mobile Banking Application



Used by customers to initiate onboarding and submit information.

02

Customer Onboarding Platform



Manages onboarding workflow, data capture, and process tracking.

03

Customer Database



Stores customer profiles, documents, and onboarding data.

04

KYC Verification Services



Verifies customer identity and performs KYC checks.

05

Customer Notification Services



Sends alerts, updates, and onboarding communications.

06

Compliance Monitoring Tools



Monitors compliance activities and ensures regulatory adherence.



Key Takeaway

These systems work together to support the current onboarding process, ensuring data capture, verification, communication, and compliance tracking.



CURRENT CHALLENGES

The following challenges have been identified:



OPERATIONAL CHALLENGES

- High reliance on manual verification activities.
- Delays in reviewing customer applications.
- Repeated customer document submissions.
- High operational workload for onboarding teams.
- Difficulty managing large onboarding volumes.



CUSTOMER EXPERIENCE CHALLENGES

- Lengthy onboarding timelines.
- Lack of visibility into application status.
- Poor communication during onboarding.
- Customer abandonment during registration and verification stages.



COMPLIANCE CHALLENGES

- Inconsistent KYC review processes.
- Risk of onboarding control weaknesses.
- Difficulty monitoring compliance performance.
- Limited audit visibility.



REPORTING CHALLENGES

- Limited onboarding performance reporting.
- Difficulty identifying onboarding bottlenecks.
- Lack of real-time management visibility.
- Limited insight into rejection reasons and customer drop-off points.



KEY TAKEAWAY

These challenges impact operational efficiency, customer satisfaction, compliance effectiveness, and overall onboarding performance.



KYC VERIFICATION



APPLICATION STATUS



DOCUMENT UPLOAD



COMPLIANCE CHECK

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CURRENT PERFORMANCE INDICATORS



The organization currently experiences challenges in measuring and monitoring onboarding performance due to limited reporting capabilities.

> **Key performance indicators that require improved visibility include:**



Total Applications Received
—



Approved Applications
—



Rejected Applications
—



Pending Applications
—



Average Processing Time
—



Customer Drop-Off Rate
—



Approval Rate
—



Rejection Rate
—



Applications Awaiting Review
—



KEY TAKEAWAY

Improved visibility into these indicators will enable better monitoring, smarter decisions, and continuous onboarding performance improvement.

ONBOARDING DASHBOARD



APPLICATIONS OVER TIME



APPLICATION STATUS



KEY INSIGHT



Limited visibility impacts decision-making and onboarding performance.



BUSINESS IMPACT



The current onboarding process contributes to significant operational, financial, customer, and compliance challenges.



REDUCED OPERATIONAL EFFICIENCY

Manual processes and multiple handoffs slow down onboarding operations.



INCREASED PROCESSING COSTS

Higher manual effort and rework lead to increased operational costs.



DELAYED CUSTOMER ACTIVATION

Longer processing times delay account activation and time to value.



REDUCED CUSTOMER SATISFACTION

Delays, lack of visibility, and poor communication drive customer dissatisfaction.



INCREASED CUSTOMER ABANDONMENT

Complex and time-consuming processes lead to drop-offs during onboarding.



COMPLIANCE AND REGULATORY RISKS

Inconsistent processes and limited controls increase the risk of non-compliance and penalties.



LIMITED MANAGEMENT VISIBILITY

Lack of real-time data and insights hinders effective decision-making.



KEY TAKEAWAY

These impacts affect profitability, customer trust, regulatory compliance, and the organization's ability to scale and grow.



OPERATIONAL EFFICIENCY



PROCESSING COSTS



CUSTOMER SATISFACTION



CUSTOMER ABANDONMENT



COMPLIANCE RISKS



MANAGEMENT VISIBILITY





NEED FOR IMPROVEMENT



Analysis of the current state indicates a need to improve onboarding efficiency, strengthen KYC controls, enhance customer experience, improve operational visibility, and support regulatory compliance through process optimization and workflow improvements.

Key Areas Requiring Improvement



IMPROVE ONBOARDING EFFICIENCY

Reduce manual work, eliminate delays, and streamline processes to accelerate customer onboarding.



STRENGTHEN KYC CONTROLS

Enhance verification accuracy, ensure consistent KYC reviews, and reduce compliance risks.



ENHANCE CUSTOMER EXPERIENCE

Simplify the onboarding journey, improve communication, and increase transparency at every stage.



IMPROVE OPERATIONAL VISIBILITY

Gain real-time insights into onboarding performance, workloads, bottlenecks, and process outcomes.



SUPPORT REGULATORY COMPLIANCE

Ensure adherence to regulations, maintain audit readiness, and strengthen compliance monitoring.



OVERALL OBJECTIVE

Optimize the onboarding process to improve **efficiency**, **reduce risk**, **enhance customer satisfaction**, and drive **sustainable business growth**.



PROCESS OPTIMIZATION



WORKFLOW IMPROVEMENTS



RISK REDUCTION



BETTER DECISIONS WITH INSIGHTS



STRONGER CONTROL AND COMPLIANCE